

PORTFOLIO ANALYSIS REPORT

Combined Account Analysis

Prepared: Tuesday, January 20, 2026

Rollover IRA (007-1234567) + Roth IRA (009-9876543)

Risk Analysis | Covered Call Program | Hedging Strategy

1. Portfolio Snapshot

1.1 Combined Account Summary

Total Market Value	\$3,924,950
Rollover IRA (007-1234567)	\$3,499,206 (89.2%)
Roth IRA (009-9876543)	\$425,744 (10.8%)
Total Cash	\$2,348 (0.06%)
Portfolio Beta (est.)	1.18

1.2 Holdings Detail

Ticker	Shares	Price	Market Value	Weight	Beta	Yield	Account
QQQ	3,200	\$611.24	\$1,955,968	49.8%	1.28	0.45%	Both
AAPL	5,000	\$249.81	\$1,249,050	31.8%	0.90	0.41%	Rollover
FBGRX*	1,250	\$268.21	\$335,263	8.5%	~1.2	0.0%	Rollover
GOOGL	600	\$324.91	\$194,946	5.0%	1.36	0.25%	Roth
ARM	1,000	\$108.55	\$108,550	2.8%	2.43	0.0%	Roth
FICDX*	635	\$79.42	\$50,432	1.3%	~0.9	1.2%	Rollover
MINDX*	1,216	\$23.35	\$28,394	0.7%	~1.0	0.0%	Rollover
Cash	-	-	\$2,348	0.1%	-	-	Rollover

** Mutual fund - not optionable. Beta estimated.*

1.3 Concentration Statistics

Top 1 Position (QQQ)	49.8%
Top 2 Positions (QQQ + AAPL)	81.7%
Top 5 Positions	97.9%
Herfindahl Index (HHI)	0.36 (HIGHLY CONCENTRATED)

2. Exposure Map

2.1 Sector Allocation (Inferred)

The portfolio is overwhelmingly concentrated in Technology:

Sector	Est. Weight	Contributors
Technology	~78%	QQQ, AAPL, ARM, GOOGL, FBGRX
Communication Services	~8%	QQQ (GOOG/META), GOOGL
Consumer Discretionary	~6%	QQQ (AMZN, TSLA)
International (Canada)	~1.3%	FICDX
International (India)	~0.7%	MINDX
Other	~6%	QQQ (Healthcare, etc.)

2.2 Factor/Style Proxies

Factor	Exposure	Assessment
Growth/Value Tilt	STRONG GROWTH	QQQ, AAPL, GOOGL, FBGRX all growth-tilted
Size Factor	MEGA-CAP	Dominated by largest tech names
Momentum	HIGH	QQQ, AAPL have strong momentum
Quality	HIGH	Strong balance sheets, high margins
Duration Sensitivity	ELEVATED	Growth stocks sensitive to rates

2.3 Correlation Clusters & Hidden Concentration

CRITICAL FINDING: The portfolio has extreme hidden concentration.

Same-Trade Exposure: AAPL is the #1 holding in QQQ (~9% weight). Your direct AAPL position + AAPL-within-QQQ exposure creates ~40% effective AAPL exposure.

Correlation Cluster 1 (Mega-Cap Tech): AAPL, QQQ, GOOGL, FBGRX, ARM all move together in risk-off events. Combined weight: ~97%. This is essentially a single bet on US tech.

Correlation Cluster 2 (Emerging Markets): MINDX (India) provides minimal diversification at 0.7%.

Correlation Cluster 3 (Developed Int'l): FICDX (Canada) at 1.3% - insufficient to meaningfully diversify.

3. Risk Diagnosis

3.1 Quantified Risk Assessment

Risk Type	Level	Detail
Market Beta Risk	HIGH	Portfolio beta ~1.18. In a -20% SPY move, expect -24% drawdown (~\$940K)
Sector Concentration	EXTREME	~78% technology. Tech-specific selloff could be devastating.
Single-Name Risk	EXTREME	~40% effective AAPL exposure. Any AAPL-specific event is catastrophic.
Volatility Risk	ELEVATED	ARM has 55%+ IV, high beta (2.43). AAPL/GOOGL/ QQQ moderate (27-37% IV).
Liquidity Risk	LOW	QQQ, AAPL, GOOGL are extremely liquid. ARM less liquid but acceptable.
Options Market Quality	MIXED	QQQ/AAPL/GOOGL excellent. ARM has wide spreads (caution).
Tail/Gap Risk	ELEVATED	Earnings 4x/year for each stock. ARM especially prone to gaps.

3.2 Scenario Analysis

Scenario	Est. Loss	Assumption
SPY -10% Correction	-\$470K (-12%)	Beta $1.18 \times 10\% = 11.8\%$
SPY -20% Bear Market	-\$940K (-24%)	Growth stocks typically fall harder
Tech Sector -30%	-\$920K (-23%)	2022-style rotation out of growth
AAPL -20% (Idiosyncratic)	-\$314K (-8%)	Direct + QQQ indirect exposure
Rate Shock +100bps	-\$390K (-10%)	Duration sensitivity of growth
VIX Spike to 35+	-\$590K (-15%)	Typical in panic selling

3.3 Covered Call Suitability Assessment

Ticker	Suitability	Notes
QQQ	EXCELLENT	Tight spreads, high OI/volume, no earnings risk. IDEAL for premium.
AAPL	GOOD	Liquid options. Watch earnings windows. Cost basis \$199 (Rollover IRA tax-deferred).

GOOGL	GOOD	Liquid options. Roth IRA = tax-free gains. Limited to 6 contracts (600 shares).
ARM	CAUTION	Wide bid-ask spreads (\$2-3!), high IV (~55%), extreme gap risk. Position underwater. Low priority.
FBGRX	INELIGIBLE	Mutual fund - not optionable
FICDX	INELIGIBLE	Mutual fund - not optionable
MINDX	INELIGIBLE	Mutual fund - not optionable

4. Covered Call Program

Objective: Generate supplemental income while minimizing assignment risk and preserving long-term growth. **Priority:** avoid triggering taxable sales.

4.1 Eligibility Rules

Minimum liquidity: Bid-ask spread < 2% of premium; Open Interest > 500; Volume > 100/day.

Avoid: Earnings windows (2 weeks before/after); Ex-dividend dates (early assignment risk); Strikes below cost basis (forced taxable gain).

Strike Selection: Growth-first approach means targeting delta 0.08-0.22, leaving substantial upside room.

4.2 Recommended Positions

QQQ (3,200 shares = 32 contracts max)

Primary candidate. ETF structure eliminates earnings gap risk. Excellent liquidity.

Type	Contract	Delta	IV	Mid Prem	% OTM	Ann. Yld	Contracts
Ultra-Cons	Mar \$645 C	0.27	17.7%	\$6.80	5.5%	6.7%	20
Conserv	Mar \$640 C	0.31	18.2%	\$8.46	4.7%	8.3%	20

Recommendation: Write 20 QQQ Mar \$645 calls @ ~\$6.80 = \$13,600 premium. Caps upside at \$645 (5.5% above current). Assignment probability ~15-20%.

AAPL (5,000 shares = 50 contracts max)

IMPORTANT: Next earnings expected late Jan/early Feb. Defer writing until after earnings or use April expiration.

Type	Contract	Delta	IV	Mid Prem	% OTM	Ann. Yld	Contracts
Ultra-Cons	Apr \$280 C	0.21	24.5%	\$3.22	12.1%	5.3%	30
Conserv	Apr \$275 C	0.25	24.6%	\$4.25	10.1%	7.0%	30

Recommendation: Post-earnings, write 30 AAPL Apr \$280 calls @ ~\$3.22 = \$9,660 premium. Limits coverage to 60% of position to preserve upside.

GOOGL (600 shares = 6 contracts max)

Roth IRA position. Tax-free gains mean assignment is less problematic, but growth preference still applies.

Type	Contract	Delta	IV	Mid Prem	% OTM	Ann. Yld	Contracts
Ultra-Cons	Mar \$360 C	0.27	34.4%	\$6.70	10.8%	12.4%	4

Conserv	Mar \$355 C	0.30	34.3%	\$7.85	9.3%	14.5%	4
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Recommendation: Write 4 GOOGL Mar \$360 calls @ ~\$6.70 = \$2,680 premium. Covers 4 of 6 contracts.

ARM (1,000 shares = 10 contracts max) - DO NOT WRITE

NOT RECOMMENDED for covered calls due to:

(1) Very wide bid-ask spreads (\$2-3 on many strikes) - execution slippage erodes premium.

(2) Position is underwater (cost \$138.59 vs current \$108.55) - writing calls locks in loss if assigned.

(3) Extreme gap risk - ARM can move 15-20% on earnings.

(4) High beta (2.43) means rapid moves that could trigger assignment.

Wait for: (a) stock to recover above cost basis, (b) IV to spike further, or (c) clearer catalyst resolution.

4.3 Portfolio Premium Summary

Position	Contracts	Premium	Cycle
QQQ Mar \$645 C	20	\$13,600	~60 days
AAPL Apr \$280 C	30	\$9,660	~90 days
GOOGL Mar \$360 C	4	\$2,680	~60 days
TOTAL	54	\$25,940	-

Monthly premium estimate: ~\$10,000-13,000/month (averaging ~60-day cycles)

Annualized yield on covered portion: ~6-8%

Upside cap impact: Limited to 5-12% gains above current prices on covered shares

4.4 Management Rules

Close Early Triggers:

Close position when 50-75% of premium is captured (e.g., sold for \$6.80, buy back at \$1.70-3.40).

Close if delta rises above 0.40 (assignment risk elevated).

Roll Triggers:

If price approaches strike with 2+ weeks to expiration: Roll UP and OUT (higher strike, later expiration) to avoid assignment.

Prefer rolling to next monthly cycle at same or higher strike.

Accept debit to roll if necessary to preserve position.

Do-Not-Write Rules:

No new positions within 14 days of earnings announcement.

No new positions if VIX < 14 (premium too thin).

No new positions on ARM until stock > \$125 or clear catalyst.

No positions expiring same week as Fed meeting.

5. Hedging Plan

Given extreme tech concentration and growth preference, hedging should focus on tail-risk protection rather than steady income. Use QQQ puts to hedge the entire portfolio given ~82% QQQ/tech overlap.

5.1 Recommended Hedge: QQQ Put Spread

Strategy: Buy protective put spread to limit downside in severe correction, financed partially by covered call premium.

Leg	Contract	Cost/Credit
Buy Put	Apr \$580 Put (delta -0.29)	\$13.80 debit
Sell Put	Apr \$550 Put (delta -0.18)	\$8.40 credit
Net Cost	Per spread	\$5.40 (\$540/spread)

Position sizing: 15 spreads = \$8,100 cost, protects \$45,000 of downside between \$550-580.

Coverage: ~\$3M notional (portfolio value). In a -20% SPY crash:

- QQQ likely falls 24-28% given beta
- Portfolio unhedged loss: ~\$940K
- Spread payoff: ~\$35K (reduces loss to ~\$905K)
- Hedge ROI in crash: 4.3x cost

5.2 Alternative: Collar Strategy

If you want zero-cost protection, combine covered calls with protective puts:

Sell: 20 QQQ Mar \$640 calls @ \$8.46 = \$16,920 credit

Buy: 20 QQQ Mar \$580 puts @ \$10.37 = \$20,740 debit

Net cost: \$3,820 for 60-day collar. Limits downside to -5% but caps upside at +4.7%.

CONFLICT with growth preference: Collar significantly caps upside. Only use if risk tolerance is lower than stated.

5.3 Annual Hedge Budget

Recommended: Allocate 20-30% of annual call premium (~\$30K-40K/year) to put protection.

Current recommendation: \$8,100 for 90-day protection = ~\$32K/year run rate.

This provides meaningful tail-risk protection without materially eroding income.

6. Opportunities & Optimizations

6.1 Non-Sale Risk Reductions

Given constraint against selling, improvements must come from overlays and new contributions:

1. Direct new contributions to non-tech sectors (healthcare, financials, energy).
2. Consider QQQM if adding to QQQ position (lower expense ratio).
3. Use covered call proceeds to purchase protective puts (recommended above).
4. Review mutual fund holdings (FBGRX, FICDX, MINDX) - if exchanges are permitted within fund family, consider diversifying into value/bond funds.

6.2 Favorable Options Pricing

QQQ: IV ~18-21% provides good premium without extreme gap risk. Sweet spot.

GOOGL: IV ~34-36% elevated relative to realized vol. Premium is attractive.

AAPL: IV ~25-28% is reasonable. Post-earnings IV crush can be captured.

ARM: IV ~53-55% is very high but bid-ask spreads destroy edge. Avoid until spreads tighten.

6.3 90-Day Execution Plan

Week 1-2 (Immediate):

1. Execute QQQ Mar \$645 calls (20 contracts) - no earnings risk.
2. Execute GOOGL Mar \$360 calls (4 contracts) - check earnings calendar first.
3. Implement QQQ put spread hedge (15 contracts).

Week 3-4 (Post-AAPL Earnings):

4. After AAPL Q1 earnings release, execute AAPL Apr \$280 calls (30 contracts).
5. Monitor existing positions daily for roll triggers.

Week 5-8 (Maintenance):

6. Close any position at 75% profit.

7. Roll threatened positions before $\text{delta} > 0.40$.
8. Review ARM for potential entry if stock recovers.

Week 9-12 (Cycle Reset):

9. As March expiration approaches, evaluate new positions.
10. Roll or close QQQ/GOOGL positions.
11. Renew hedge if put spreads expire worthless (good outcome).

Weekly Checklist:

- ☐ Check earnings calendar for all holdings
- ☐ Review delta on all open call positions
- ☐ Confirm no ex-dividend dates approaching
- ☐ Monitor VIX level (pause if < 14)
- ☐ Track premium capture % on each position

7. Questions & Assumptions

The following questions would materially change recommendations:

1. Tax Treatment of Rollover IRA

Current assumption: Tax-deferred (no immediate tax on assignment/gains). If this is a SIMPLE IRA or has other restrictions, covered call treatment may differ.

2. Willingness to Realize Gains Under Any Circumstance

Current assumption: Strong preference to avoid. If there's a price level or circumstance where assignment would be acceptable (e.g., AAPL > \$300), strike selection could be more aggressive.

3. Margin Permissions & Option Approval Level

Current assumption: Standard Level 2 options (covered calls, cash-secured puts, long options). If Level 3+ approved, could consider more complex strategies (spreads directly, rather than separate legs).

4. Total Portfolio Context

Current assumption: These two accounts represent primary liquid net worth. If you have other assets (real estate, bonds, 401k elsewhere), the extreme equity concentration may be more tolerable.

5. Income Needs vs. Total Return

Current assumption: Premium income is supplemental; growth is priority. If regular income is needed, more aggressive call writing (higher delta, more contracts) could be considered despite upside cap.

— END OF ANALYSIS —

This analysis is for informational purposes only and does not constitute investment advice. Options involve risk and are not suitable for all investors. Past performance does not guarantee future results.